

Music Piracy

A learner reader on music, software and online piracy — the ethics, the industry, and the South African picture.

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Why this matters for US 114055

Unit Standard 114055 asks you to demonstrate an awareness of ethics and professionalism for the computer industry in South Africa. Piracy — of music, software, film and games — is one of the clearest everyday ethics questions IT practitioners face. This reader lets you weigh the arguments (and excuses) for and against piracy, and see the real cost to the local industry and to jobs.

A reader's dilemma — the burned CD

Question

A few weeks ago a friend 'burned' me a pirate copy of a new CD he'd just bought. It's not a band I would usually have bothered with, but I have to admit the music is pretty good. However I now feel guilty every time I play the CD. Should I give the CD back, and risk alienating my friend? Should I just throw it away and hope he doesn't raise it in conversation, forcing me into an awkward situation? Or can I keep the CD with a clear conscience, knowing that I didn't make the illegal copy, and that it's pretty unlikely that I would ever have bought a copy anyway?

Answer

Music piracy, while not as prominent as the old skull-and-crossbones kind, is certainly a good deal more widespread. 'Piracy' is generally considered to include:

- Pirate recordings — where it's just the music itself that is copied, usually by ordinary people using ordinary equipment on a not-for-profit basis ("I just got the new album — do you want me to burn you a copy?").
- Counterfeiting — which involves copying the music as well as the packaging, and generally involves attempting to pass off the copy as the real thing.
- Online piracy — basically the same as either making a pirate recording or counterfeiting, only it's done via the internet.
- Bootlegging — the recording and trading of a performance, usually a live concert, which has not been officially released by the artist or her representative.

RIAA, the Recording Industry Association of America, claims that the recording industry loses around 4.2 billion U.S. dollars to piracy each year. This figure is reached by way of an inference that each pirate transaction represents a lost legitimate sale. This is obviously overly simplistic: people buy pirated music, or make their own copies, because doing so is cheaper than buying the real thing from a retailer. It is not at all obvious that if the pirated version were not available then all those people would head straight for the nearest music store. That said, it is pretty obvious that full-blown music counterfeiting is both illegal and unethical, and we ought not to support this industry by buying cheap counterfeits at flea markets and street traders. Your query, however, is about home-made pirate recordings.

Many people who make pirate copies of CDs, particularly the "home pirates" who don't actually make money out of piracy, think of themselves as modern day Robin Hoods — stealing from the obscenely rich recording company executives and their overpaid artists, and giving to the poor (themselves). RIAA tries to undermine that kind of thinking by claiming that it is the consumer who is the "ultimate victim" of piracy — because the consumer who buys a pirated copy is

thereby denied the superior sound quality and proper packaging that comes with the real thing.

While RIAA's argument is not particularly convincing, it is not clear that the Robin Hood argument holds water either. Presumably the idea is that in this sort of case stealing is justified by the wealth of the person being stolen from, and the real need of the person the stealing is supposed to benefit. But does this really hold in this case? While it is hard to feel too sorry for either a large label or their latest boy-band, we do need to ask ourselves whether they are really doing something wicked by making money out of their product. Perhaps the argument is that CDs are overpriced. Well, in a free-market system there is a pretty good way of driving some product's price down: don't buy it. If enough people agree with you, the product won't sell and the price will eventually come down. If it doesn't, then you were probably wrong about the overpricing in the first place. And music is not such a fundamental need that you might die while waiting for the market to make things right — if you are really desperate, there is always the radio.

There are those who believe that there is price fixing going on in the music industry, and that piracy is a legitimate form of protest against the music barons. But if protest is really your goal, rather than just a convenient excuse for copying, then copying your friend's new CD is not a particularly effective way of doing it. Protests need to attract attention. If you really want to protest, and don't like any of the wide range of legal means of protesting available, then one route would be to openly sell counterfeit CDs outside your nearest big-name record store, and wait to get arrested. You would then get more than enough opportunity to get your message out through the media.

If protest is not really what is on your agenda, what should you do about the situation you describe? If you really like the CD, buy yourself a legitimate copy and get rid of the pirated version. If your friend is concerned about why you didn't keep the pirated CD, you can always try RIAA's "ultimate victim" line. And if you decide not to buy the CD, then get rid of the pirated version anyway, and go out and buy two copies of the latest release from your favourite South African artist or band — one for you and one for your friend.

Industry toughens on piracy

An insert on software piracy in South Africa, measured against the global picture.

Half of the software in use in South Africa is illegal — that means it has not been paid for or is pirated. In the US 30% of software is pirated and in the UK, 35%. The rest of Africa has a software piracy rate into the 90% range.

The Business Software Alliance (BSA) — an anti-piracy umbrella body made up of large software companies — is getting tougher on offenders. Although in the past few months R300 000 has been recovered in out-of-court settlements, the BSA will in future prosecute offenders to the full extent of the law.

The latest world-wide software piracy figures released by the BSA show that South Africa is one of the few countries in the world that suffered from an increased rate of software piracy from 1997 to 1998.

Despite the decrease in the world-wide rate to 38% (from 40%), the amount of software pirated in South Africa rose to 49% (from 48%). This translates into a retail revenue loss to the local software industry of R580 million.

"The fact that the South African piracy rate increased is indicative of the extent of the local piracy problem," says Garry Hodgson, director of legalisation at Microsoft South Africa. "For almost every copy of software sold, another is pirated or stolen. Theoretically, software resellers can get a rough indication of how much revenue they could gain through the eradication of software piracy by merely doubling their sales figures."

The illegal copying and distribution of software programs is the main obstacle to the growth of the software sector, which is reflected in revenue losses estimated at US\$11 billion to the worldwide industry in 1998. This is one of the findings published in the 1998 report on software piracy prepared by the International Planning Research Corporation (IPRC) for the BSA and the Software and Information Industry Association (SAII).

The IPRC report largely attributes the decreased rate of piracy world-wide to international economic recessions, particularly in Asia, Eastern Europe and the Middle East. This suggests that the decline in piracy rates and dollar losses experienced in 1998 is not expected to continue into the future without increased enforcement of software copyright laws.

"The increase in the local software piracy rate indicates that this is a crime that is not being taken seriously enough in South Africa," says Hodgson. "Buying, selling or illegally copying software is supporting the South African crime problem, and while Microsoft and the BSA will continue to raise public awareness about products that are legally protected by copyright, it is only through stricter legislation that this type of crime can be stopped. South Africans have to realise that software piracy

is stealing — no more, no less — and criminals deserve to be punished.”

As of 1 July 1999 the South African Government has six months to improve the local protection of intellectual property rights or face further unpleasantness from the Clinton administration’s fair trade enforcers. The US trade representative will be seeking assurances that government computers have been purged of unlicensed software and that SA will be in full compliance with the World Trade Organisation’s trade-related intellectual property agreement (TRIPS) by 1 January next year.

The South African law does allow for some enforcement of copyright violation, and amendments to the copyright law in South Africa (the Intellectual Property Laws Amendment Act, effective 1 October 1997) have brought SA closer to compliance with its TRIPS obligations. This is especially true in the scope of protection given to computer programs, protection of compilations of data and databases, and terms of protection for audio-visual works. However, even after these amendments, numerous areas of South Africa’s enforcement practices fall short of full TRIPS compliance.

South Africa losing 30 000 jobs to piracy

By Tiisetso Motsoeneng, Daily Dispatch, 24 May 2006

About 36% of the software used by South African businesses is illegal, depriving more than 30 000 people of jobs in the multibillion rand information technology (IT) industry, say experts.

Although piracy rates among local businesses dropped 1% compared to last year, industry players said the numbers were still significantly high, representing at least R1,2 billion in economic losses. "Software piracy remains one of the major hurdles to realising the potential of the information economy in South Africa, on the continent and around the world," said chairperson of the local arm of the Business Software Alliance (BSA), Stephan le Roux.

Le Roux was speaking at the release of a study commissioned by BSA, which found that some countries had piracy rates topping 90%, with Africa and the Middle East's gross domestic product losing about R10,3 billion last year. BSA is an industry body representing commercial software developers and their hardware partners. Its vice-chairperson Andrew Lindstrom said plenty of jobs could be created if the intellectual property protection laws were robustly enforced.

Besides software, South African intellectual property laws cover industries such as film, books and music.

The BSA study comes amid concerted effort from law enforcement officials to crack down on DVD piracy, which crippled sales of the latest Leon Schuster movie *Mama Jack* and Oscar-winner *Tsotsi*. A group of music heavyweights recently raided Johannesburg streets to wipe out pirated music CDs sold in some shops and by street vendors. BSA said that software piracy in the local industry has led to unfair competition, which has jeopardised foreign direct investment from international companies as there were low market returns.

Analysts said government needed to use all avenues to tackle the steep unemployment rate, which is sitting at 26,7%.

The report covering 97 countries pointed to a global software piracy rate of 35%, unchanged from last year's level. "This represents at least \$34 billion in economic losses worldwide — calculated according to the retail value of pirated software," BSA said.

The report also painted a gloomy picture of African countries' potential to implement successful intellectual property legislation, saying that software piracy on the continent averaged more than 70%. Globally, piracy was most prevalent in Zimbabwe and Vietnam, which both showed rates of 90%.

"While we are upbeat that piracy levels are dropping, there is still a concern for our local economy that over a third of the software in use is illegal. This concern rises when you look at some countries

in Africa, where as few as one in ten copies of packaged software are legitimately paid for," said le Roux. He added that lowering software piracy would take constant work and investment, but those investments could unlock benefits for the industry and local economies.

BSA said that if the global piracy rate were to drop 10% to 25%, about 2,4 million new jobs would be created, and a further \$67 billion in tax revenues would be added worldwide.

What is piracy?

Software piracy has become an important topic affecting the software industry internationally, including individual and business users of all software products worldwide.

Software piracy is the failure to comply with software license agreements. Piracy, in any form, is an unlawful action and offenders are liable to either civil or criminal prosecution. It is important that all software users and resellers understand the different forms of software piracy in order to comply with the law and protect themselves and their business.

The various forms of software piracy

- End User Copying — A licensed software user passes their software on to friends, business colleagues and family to copy indiscriminately. Or, in the case of volume software licenses, users and businesses under-report the number of computers on which the software is installed.
- Reseller Copying — Resellers pass their software on to their clients.
- Counterfeiting — Criminals copy the software and collateral, such as manuals, and sell it as the original product.

Software piracy negatively impacts customers, resellers and software vendors. Lower vendor revenues, as a result of software piracy, limit the industry's ability to re-invest funds in research and development (R&D) and to continuously maintain and improve service and support infrastructures. Ongoing investment in R&D ensures that software vendors have the ability to keep their users at the forefront of the latest technology developments.

Furthermore, purchasing pirate software can have a damaging effect on your company as the software may introduce viruses to your system, destroying mission-critical data. Users of pirate products do not benefit from the quality and reliability guarantees provided to lawful, licensed customers and will be unable to access technical software support.

Bidorbuy declares war against piracy in South Africa

Bidorbuy press release — 13 September 2005

bidorbuy, one of South Africa's largest online marketplaces, has taken a proactive stance against the selling of pirated goods online. Although e-commerce has shown tremendous growth over the past few years, its uptake has been hindered by various factors, one being consumers' concerns regarding pirated or illicit goods being sold online.

Looking at the number of people going online each year, the Internet has turned into a serious business medium, as the 25 000 people with dial-up Internet access in 1994 turned into an overall market of more than 3 million users in 2004. "With the rapid growth and uptake of this medium locally, protection of intellectual property on the Internet has become an increasingly urgent issue," says Andy Higgins, managing director at bidorbuy. "Due to the difficulty of controlling this aspect, more dealers of pirated or illicit goods will switch to the Internet to promote and sell their goods."

"Many people do not realise the high stakes involved, as failure to enforce piracy regulations in cyberspace could have repercussions for the economy as a whole," says Higgins. "Piracy is nothing less than serious theft. It is a crime that impacts right across our society, from government to the retail sector and right down to the individual customer, who, in buying pirated goods, ends up with inferior products. The only winners are the criminals — something that needs to be stopped immediately."

bidorbuy has acknowledged combating piracy as a top priority. Although the company is not expert in identifying pirated goods, it is working closely with industry bodies and authorities to ensure the problem of pirated goods on the www.bidorbuy.co.za site is combated effectively. Such bodies include the South African Police Services (SAPS), the Southern African Federation against Copyright Theft (SAFACT), the Business Software Alliance (BSA) and the Independent Communications Authority of South Africa (ICASA).

SAFACT, a trade association representing the entertainment industry, recently entered into an agreement with bidorbuy in the fight against the sale of pirated DVD movies and games online. "When considering the fact that the film industry loses approximately R200 million per annum through piracy, the agreement with bidorbuy is an important step forward in our continuous fight against this crime," says Fred Potgieter, general manager at SAFACT. "Therefore we salute bidorbuy for this initiative and encourage other online auction sites to take similar responsibility to monitor what is being offered for sale on their sites. This is of particular importance when we consider the increasing growth of Internet users in South Africa, many of which unfortunately use the Internet as a conduit for the sale of pirated films. In the USA and Europe, for example, the greatest threat to the

software industry is the Internet, and as such we should prepare for this trend locally.”

The issue of software piracy and the resale of counterfeit goods have far-reaching implications — not only for the manufacturers of the products but for the economies of the countries in which the practice proliferates. IDC, the international research house, released the results of its software piracy study earlier this year after surveying 87 countries worldwide. “South Africa’s piracy rate stands at 37 percent — up one percent from last year and close to the global average of 35 percent. The general African average is a staggering 80 percent, with countries such as Zimbabwe topping 90 percent. This translates into Africa’s economy suffering to the tune of \$1 billion per year. EMEA loses around \$15 billion. Globally, piracy costs approximately \$33 billion,” explains Stephan Le Roux, chairman of the BSA in South Africa.

“Piracy remains a serious problem in South Africa and we are dedicated to play a role in the ongoing war that is being waged against the illegal importation and selling of counterfeit and pirated goods in the country. As such, we are keeping with our commitment to making the online marketplace a safe and secure place to conduct business,” concludes Higgins.